



Export Guarantees and Payments Act 1970

1970 CHAPTER 15

An Act to amend the Export Guarantees Act 1968, and to confer on the Board of Trade power to make grants for the purpose of reducing costs incurred or to be incurred, under export contracts or contracts related to export contracts, by persons carrying on business or other activities abroad. [16th April 1970]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1. In section 4(1) of the Export Guarantees Act 1968 (which limits the aggregate of the liabilities of the Board of Trade and the sums paid by them for securities acquired and for the time being held by them in pursuance of that Act)—

(a) the limit imposed in respect of liabilities incurred and securities guaranteed in pursuance of arrangements made under section 1 of that Act shall be increased by the substitution, in paragraph (a) of that subsection, of the words “£4,000 million” for the words “£2,400 million”; and

(b) the limit imposed in respect of liabilities incurred and securities guaranteed or created in pursuance of arrangements made under section 2 of that Act shall be increased by the substitution, in paragraph (b) of that subsection, of the words “£2,500 million” for the words “£1,500 million”.

2.—(1) Arrangements, under section 2 of the Export Guarantees Act 1968 (guarantees in the national interest, &c.), for facilitating the payment of sums payable under contracts with persons carrying on business in the United Kingdom, the Isle of Man or

Raising of limit on commitments of Board of Trade under the Export Guarantees Act 1968.

1968 c. 26.

Extension of power of Board of Trade to make arrangements for facilitating payments under export contracts and contracts related thereto, &c.

the Channel Islands may be made as well for the purpose mentioned in section 1(1) of that Act (encouraging "trade with other countries") as for the purpose of rendering economic assistance to countries outside the United Kingdom, the Isle of Man and the Channel Islands, but such arrangements made for either of those purposes shall be limited to arrangements for facilitating payments in cases in which it appears to the Board of Trade to be expedient in the national interest so to do; and, accordingly,—

(a) at the end of subsection (1) of the first-mentioned section there shall be added the words "or for facilitating, in cases in which it appears to the Board of Trade expedient in the national interest so to do, the payment of sums payable under contracts with persons so carrying on business"; and

(b) in subsection (2) of that section, the words from "and the arrangements" to the end shall cease to have effect.

1968 c. 26.

(2) In section 3(1) of the Export Guarantees Act 1968 (power of Board of Trade to acquire securities), for the words "such arrangements as are mentioned in section 2(2)" there shall be substituted the words "arrangements made under section 2"; and, in section 8(b) of that Act (return relating to guarantees given and securities created under arrangements made under section 2 of that Act), for the words "such arrangements as are mentioned in subsection (2) of" there shall be substituted the words "arrangements made under".

Power of Board of Trade to make grants for the purpose of reducing costs to overseas parties to export contracts or contracts related thereto.

3.—(1) This section applies to contracts entered into after the passing of this Act, being contracts in respect of which, in pursuance of arrangements made under section 1 or section 2 of the Export Guarantees Act 1968, either or both of the following powers, that is to say, the power to give guarantees in connection therewith and the power to facilitate payments thereunder, are exercisable or have been exercised by the Board of Trade.

(2) For the purpose of reducing costs which have been or may be incurred by persons carrying on business or other activities outside the United Kingdom, the Isle of Man and the Channel Islands, in making interest payments under contracts to which this section applies, the Board of Trade may, with the consent of the Treasury, make, to parties to those contracts, grants out of moneys provided by Parliament of such amounts, in such manner and on such terms as the Board may, with the approval of the Treasury, determine.

(3) The reference in subsection (1) above to section 2 of the Export Guarantees Act 1968 includes a reference to that section

as amended by section 2 of this Act: and in section 7 of that Act (exercise of powers of Board of Trade through Export Credits Guarantee Department) the reference to that Act shall be construed as including a reference to this section.

4.—(1) On such day as the Treasury may direct, the Acquisition of Guaranteed Securities Fund maintained under subsection (2) of section 3 of the Export Guarantees Act 1968 shall be wound up and the moneys therein paid into the Consolidated Fund, and that subsection and subsections (3) and (4) of that section shall cease to have effect. Winding up of the Acquisition of Guaranteed Securities Fund. 1968 c. 26.

(2) All sums received, after the Acquisition of Guaranteed Securities Fund is wound up, by the Board of Trade in respect of securities acquired by them under subsection (1) of the said section 3 shall be paid into the Consolidated Fund.

5. This Act may be cited as the Export Guarantees and Payments Act 1970, and this Act and the Export Guarantees Act 1968 may be cited together as the Export Guarantees Acts 1968 and 1970. Citation.